

China Artificial Intelligence

GLM-5.3 and DeepSeek's repricing shift the capability-cost frontier; raise Zhipu/MiniMax PT, remain OW/Neutral

Following Zhipu's GLM-5.3 launch and DeepSeek's API repricing effective Aug 17, we maintain OW on Zhipu and Neutral on MiniMax. We raise our 2026-27 revenue forecasts by 6-9% and 0-11%, respectively, and lift our PTs to HK\$1,800 and HK\$260. GLM-5.3 raises Zhipu's own capability, while MiniMax benefits from a key rival becoming more expensive, and Hailuo H3 adds multimodal optionality. We prefer Zhipu as its improvement is internally driven and more defensible. For MiniMax, the upcoming M3.1 is the key test of whether its LLM can regain relevance on the capability-cost frontier.

- **Capability and cost define the Pareto frontier; we currently place greater value on the intelligence end.** A model sits on the frontier when no rival offers better capability at the same or lower price, or comparable capability more cheaply. Both ends can support attractive commercialization: frontier intelligence can command premium pricing and unlock harder workloads, while cost-efficient models can capture large volumes of mature intelligence. We currently favor capability because the intelligence frontier is still moving quickly, stronger models are relatively insulated from price changes by weaker alternatives, while mature intelligence is increasingly supplied by more providers. Sustainable cost leadership therefore requires structural efficiency, with DeepSeek providing the clearest example in China.
- **GLM-5.3 moves Zhipu further up the capability curve; M3.1 is the next test for MiniMax.** GLM-5.3 uses the same base model as GLM-5.2 but achieves meaningful coding and agentic gains through heavier post-training, according to the company. With API economics broadly unchanged, we expect stronger adoption and retention. MiniMax's current M3 has yet to establish a clear advantage on either capability or cost-performance. DeepSeek's repricing narrows one important cost disadvantage, but such benefit is externally driven. We therefore look to M3.1 to assess whether MiniMax can establish a more competitive position on either dimension of the Pareto curve.
- **Raise PTs to HK\$1,800/HK\$260; H3 adds optionality while M3.1 is the key LLM catalyst for MiniMax.** Our Zhipu PT implies ~20x our US\$5bn 2027E ARR and MiniMax ~12x our US\$1bn end-2026E ARR. H3's encouraging early reception strengthens MiniMax's multimodal portfolio, although we remain measured on the revenue and profit an independent provider can capture against integrated platforms including ByteDance and Kuaishou that can capture value across model/API revenue, content creation, distribution, advertising and user engagement. For Zhipu, we watch GLM-5.3 validation and paid conversion; for MiniMax, M3.1 capability and pricing, H3 monetization and the sustainability of benefits from DeepSeek's repricing are the key watchpoints.

Hong Kong Internet

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J.P. Morgan Securities (China) Company
Limited

See page 16 for analyst certification and important disclosures, including non-US analyst disclosures.

Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
Z AI Co Ltd - H	2513 HK	39,020	HKD	1,270.00	OW	n/c	1,800.00	Dec-26	1,600.00	n/c
MiniMax Group Inc - H	100 HK	9,566	HKD	329.00	N	n/c	260.00	Dec-26	160.00	n/c

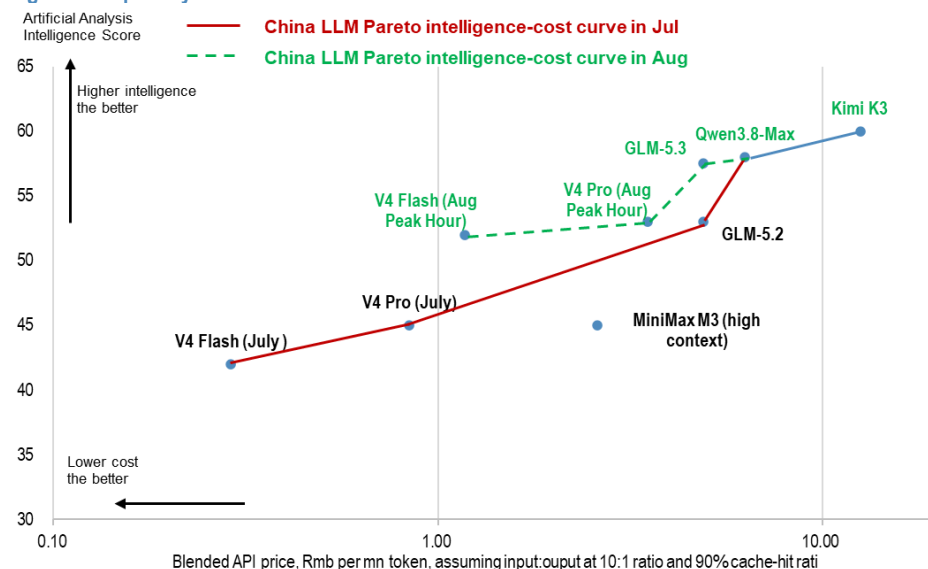
Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 14 Aug 26.

Capability and cost increasingly define the competitive frontier

We remain constructive on the model layer as AI usage expands across coding, reasoning, agents and enterprise workflows, but we expect the economics to concentrate around models that maintain a clear advantage in either **capability** or **cost-performance**. We therefore increasingly assess model competition through a Pareto framework: a model sits on the frontier when peers cannot provide higher capability at the same or lower price, or comparable capability more cheaply. Models can build attractive businesses at different points on this curve; those sitting inside it face a harder commercial position as users can choose a stronger or cheaper alternative.

For cost, we primarily use the blended token pricing, while capability is informed by benchmarks and observed product performance. Both are imperfect proxies — realized economics vary by token mix, caching and workload, while benchmarks do not capture every production use case — so the framework is more useful for relative positioning than for calculating precise customer ROI. The key investment question is whether a provider can repeatedly remain on one edge of the frontier as models and prices change.

Figure 1: Capability–cost Pareto frontier



Source: Artificial Analysis, J.P. Morgan estimates (data as of Aug 15, 2026). Note: the official score on GLM5.3 is not yet available on Artificial Analysis, the current score is estimated by J.P. Morgan based on Z AI's own technical report.

Table 1: Two paths to a defensible model business

	Intelligence frontier	Cost-performance frontier
Value proposition	Scarce, stronger intelligence	Mature intelligence at attractive cost
Monetization	Premium pricing + new workloads	High-volume consumption
Competitive set	Other frontier models	Broader model set
Key competitive advantage	Repeated capability improvement	Structural cost efficiency
Main risk	Capability catch-up	Cost advantage erodes

Source: J.P. Morgan estimates. (data as of Aug15, 2026)

Both ends can monetize; we currently favor intelligence

Both ends of the Pareto curve can create substantial value. Frontier intelligence can command higher prices and expand the addressable workload as models become capable of increasingly difficult tasks; lower-cost models can drive much larger consumption once a level of intelligence becomes sufficiently mature. **Our current bias toward capability reflects where the industry is today. Intelligence is still advancing rapidly, and a model capable of completing workloads that weaker alternatives struggle with is relatively insulated from their pricing.** Each capability step can also open new demand, as coding has progressed from autocomplete and simple generation toward repository-level work, debugging, testing and longer-horizon software tasks.

The competitive dynamics become tougher as intelligence matures. More models can serve the same workload, open-weight releases accelerate diffusion of new techniques, and hardware and inference efficiency continue to improve. Price and serving economics therefore carry more weight, while competitors can attack the incumbent from several directions. **We still see significant value in the cost-performance route, but the moat needs to come from structurally lower cost,** rather than willingness to price aggressively. This is why we currently assign greater durability to capability leadership while remaining constructive on providers that can demonstrate a sustainable cost advantage.

DeepSeek sets a high bar for structural cost leadership

DeepSeek is the clearest Chinese example of what credible cost leadership looks like. **Its low pricing has been supported by model architecture and system-level efficiency across MoE, attention design, KV-cache requirements, quantization and serving optimization.** This gives DeepSeek more flexibility to decide how much efficiency improvement to pass through to users and how much to retain through monetization. It also illustrates why model competition increasingly extends into infrastructure: architecture and inference systems jointly determine the economics at which intelligence can be delivered.

The Aug 17 repricing (announced by the company on Aug 13) is informative in this context. DeepSeek is raising selected V4 API prices substantially while remaining among the more competitive high-capability choices on price, suggesting its previous pricing contained meaningful monetization headroom. **The move creates near-term breathing room for peers, particularly those competing closer to the cost-performance end, but it does not remove DeepSeek as the industry cost benchmark.** For MiniMax, we believe this reduces one competitive pressure ahead of M3.1; for the broader industry, it reinforces our view that sustainable cost leadership needs an underlying efficiency advantage that survives changes in headline pricing.

Table 2: API pricing tracker for major LLM providers in China

LLM provider	Model	Context	Jun-26			Jul-26			Aug-26		
			Input (Rmb)	Cache-hit input (Rmb)	Output (Rmb)	Input (Rmb)	Cache-hit input (Rmb)	Output (Rmb)	Input (Rmb)	Cache-hit input (Rmb)	Output (Rmb)
Zhipu AI	GLM-5.3	0-1M							TBC	TBC	TBC
	GLM-5.2	0-1M	8.00	2.00	28.00	8.00	2.00	28.00	8.00	2.00	28.00
	GLM-5.1	0-32k	6.00	1.30	24.00	6.00	1.30	24.00	6.00	1.30	24.00
		32k+	8.00	2.00	28.00	8.00	2.00	28.00	8.00	2.00	28.00
	GLM-5-Turbo	0-32k	5.00	1.20	22.00	5.00	1.20	22.00	5.00	1.20	22.00
		32k+	7.00	1.80	26.00	7.00	1.80	26.00	7.00	1.80	26.00
MiniMax	GLM-5	0-32k	4.00	1.00	18.00	4.00	1.00	18.00	4.00	1.00	18.00
		32k+	6.00	1.50	22.00	6.00	1.50	22.00	6.00	1.50	22.00
	M3 Standard	0-512k	2.10	0.42	8.40	2.10	0.42	8.40	2.10	0.42	8.40
		512k-1M	4.20	0.84	16.80	4.20	0.84	16.80	4.20	0.84	16.80
	M3 Priority	0-512k	3.15	0.63	12.60	3.15	0.63	12.60	3.15	0.63	12.60
		512k-1M	6.30	1.26	25.20	6.30	1.26	25.20	6.30	1.26	25.20
DeepSeek	M2.7		2.10	0.42	8.40	2.10	0.42	8.40	2.10	0.42	8.40
	M2.7 High-Speed		4.20	0.42	16.80	4.20	0.42	16.80	4.20	0.42	16.80
	V4 Pro (Peak-hour)	1M	3.00	0.03	6.00	3.00	0.03	6.00	9.00	0.30	27.00
	V4 Pro	1M				3.00	0.03	6.00	4.50	0.15	13.50
	V4 Flash (Peak-hour)	1M				1.00	0.02	2.00	3.00	0.10	9.00
	V4 Flash	1M	1.00	0.02	2.00	1.00	0.02	2.00	1.50	0.05	4.50
Kimi	K3					20.00	2.00	100.00	20.00	2.00	100.00
	K2.7 Code		6.50	1.30	27.00	6.50	1.30	27.00	6.50	1.30	27.00
	K2.7 Code High-Speed		13.00	2.60	54.00	13.00	2.60	54.00	13.00	2.60	54.00
	K2.6		6.50	1.10	27.00	6.50	1.10	27.00	6.50	1.10	27.00
	K2.5		4.00	0.70	21.00	4.00	0.70	21.00	4.00	0.70	21.00

Source: Company official websites (data as of Aug 15, 2026).

Z AI: GLM-5.3 pushes Zhipu further toward the intelligence frontier; maintain OW

We maintain OW on Zhipu and raise our Dec-26 PT to HK\$1,800, which implies ~20x our US\$5bn 2027E ARR. GLM-5.3 strengthens our conviction because it improves the variable we currently value most, capability, while API economics remain broadly stable. According to the company, GLM-5.3 uses the same base model as GLM-5.2 and derives much of its coding and agentic improvement from heavier post-training. The magnitude of the reported improvement is encouraging, although we continue to look for broader independent validation.

The use of the same base model is also relevant for the competitive debate. It suggests meaningful capability gains can still come from post-training without another major pre-training cycle, putting greater weight on data quality, reinforcement learning, evaluation infrastructure and engineering execution as sources of differentiation. With existing subscribers' pricing broadly unchanged, stronger capability should support adoption and retention if real-world user feedback confirms the reported gains.

We prefer Zhipu because its latest competitive improvement is internally generated. Its position remains exposed to future releases from Kimi, DeepSeek and other frontier peers, so the thesis requires continued model iteration rather than relying on GLM-5.3 alone. Starting closer to the intelligence frontier also provides strategic

flexibility: subsequent inference optimization can improve cost-performance while preserving capability. We raise our 2026-30 revenue forecasts by 6-10%, and therefore hike our Dec-26 price target to HK\$1,800 from HK\$1,600.

Table 3: Zhipu: Estimate changes summary

Rmb mn	2026E	2027E	2028E	2029E	2030E
Revenue					
New	5,360	14,992	41,221	111,644	193,132
Old	5,038	13,768	37,672	101,706	175,864
% change	6%	9%	9%	10%	10%
Operating profit					
New	(5,067)	(5,051)	897	26,397	60,115
Old	(5,173)	(5,532)	(569)	22,085	52,249
% change	2%	9%	258%	20%	15%
Adjusted net profit					
New	(3,498)	(2,084)	5,586	27,713	56,673
Old	(3,605)	(2,566)	4,120	24,264	50,380
% change	3%	19%	36%	14%	12%

Source: J.P. Morgan estimates (data as of Aug15, 2026).

MiniMax: DeepSeek repricing provides breathing room; M3.1 and Hailuo H3 need to prove stronger LLM positioning and multimodal value capture

DeepSeek repricing provides breathing room; M3.1 is the key LLM test

We maintain Neutral on MiniMax and raise our Dec-26 PT to HK\$260, which implies ~12x our US\$1bn end-2026E ARR. The current M3 has yet to establish a clear advantage on either capability or cost-performance, leaving MiniMax vulnerable to stronger models at one end and DeepSeek's historically aggressive economics at the other. DeepSeek's repricing narrows this cost disadvantage across substitutable workloads and supports higher retention, workload-share and pricing assumptions, but the improvement comes from a competitor's decision and we believe can reverse as prices and models change.

M3.1 is therefore the more important company-specific catalyst. We want to see whether MiniMax can establish a more competitive position through its own model iteration, either by materially improving capability or offering compelling cost-performance. DeepSeek's higher pricing lowers the hurdle somewhat, but a modest M3.1 improvement that leaves the model inside the Pareto frontier would have limited impact on our longer-term view.

Hailuo H3 adds optionality, while value capture remains the key question

Hailuo H3 strengthens MiniMax's multimodal portfolio and adds a second potential growth engine. We see substantial demand growth ahead as AI-generated video and images penetrate advertising, short-form video, gaming and e-commerce, although the equity question extends beyond industry TAM to **how much revenue and profit an independent provider can ultimately capture**. General-purpose LLM intelligence can address a broader range of knowledge work, while multimodal generation today is more concentrated around content creation and production budgets.

Competitive structure further raises the hurdle for MiniMax. It faces **integrated platforms including ByteDance and Kuaishou that can capture value across model/API revenue, content creation, distribution, advertising and user**

engagement. A better video model can generate direct API revenue while increasing content supply, improving advertising tools and supporting engagement on their own platforms; existing creator and advertiser ecosystems also provide distribution and data advantages. By comparison, MiniMax needs to capture more investment return directly through its own products and model services, rather than across an entire ecosystem.

We view H3 as meaningful optionality, with stronger model performance alone insufficient for us to turn more positive on the stock. We would assign more value if MiniMax demonstrates sustained frontier multimodal performance together with paid usage, durable pricing and attractive economics against integrated competitors. Combined with M3.1, this leaves two routes for upside to our Neutral view: a stronger position on the LLM Pareto frontier, or evidence that multimodal competitiveness can translate into a sufficiently large and profitable standalone business.

Estimate changes: To reflect relatively more benign LLM pricing competition and the multimodal optionality offered by Hailuo H3, we lift our 2027-30E revenue by 11-21%, and raise our price target to HK\$260 from HK\$160. Maintain Neutral.

Table 4: MiniMax: Estimate changes summary

US\$mn	2026E	2027E	2028E	2029E	2030E
Revenue					
New	383	922	1,998	3,874	7,910
Old	383	830	1,652	3,194	6,633
% change	0%	11%	21%	21%	19%
Operating profit					
New	(932)	(1,201)	(1,268)	(927)	439
Old	(932)	(1,217)	(1,353)	(1,148)	(41)
% change	0%	1%	6%	19%	1164%
Adjusted net profit					
New	(432)	(931)	(918)	(426)	1,027
Old	(432)	(948)	(1,003)	(647)	633
% change	0%	2%	8%	-34%	62%
Adjusted EPS					
New	(1.30)	(2.30)	(2.26)	(1.05)	2.53
Old	(1.30)	(2.34)	(2.47)	(1.60)	1.56
% change	0%	-2%	-8%	-34%	62%

Source: J.P. Morgan estimates (data as of Aug15, 2026).

Our previous publications on China Artificial Intelligence

- [China Artificial Intelligence: Global reach and model innovation drive next-gen leaders; initiate on Knowledge Atlas and MiniMax at OW](#) (Feb 2026)
- [China Artificial Intelligence: Addressing Ten Key Questions for Investors](#) (Mar 2026)
- [China Artificial Intelligence: After the rally — What's priced in, what could change and how to position?](#) (Apr 2026)
- [China Artificial Intelligence: DeepSeek V4 3-week check: first-party cost edge; compute-constrained market; SOTA is still the answer for Zhipu/MiniMax](#) (May 2026)
- [China Artificial Intelligence: When demand exceeds supply, a price cut is a verdict: remain OW Zhipu, downgrade MiniMax to Neutral](#) (Jun 2026)
- [China Artificial Intelligence: Open-weight commercialization playbook: winner takes more](#) (Jul 2026)
- [China Artificial Intelligence: Capital accelerates race; Raise Zhipu \(OW\) PT on higher ARR visibility; MiniMax \(N\) needs stronger model validation](#) (Jul 2026)
- [China Artificial Intelligence: Kimi K3 resets frontier-model valuation, but 50%+ sell-off overstates impact on Zhipu's ARR trajectory, retain OW](#) (Jul 2026)

Z AI Co Ltd - H

Overweight

2513.HK, 2513 HK

Price (14 Aug 26): HK\$1,270.00

▲ **Price Target (Dec-26): HK\$1,800.00**
Prior (Dec-26): HK\$1,600.00

Hong Kong

Internet

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J.P. Morgan Securities (China) Company Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 27E (Rmb)	(5.40)	(4.39)	18.8%

Half Yearly Forecasts (FYE Dec)

Adj. EPS (Rmb)	2025A	2026E	2027E
H1	(11.09)	(5.07)	(4.34)
H2	(9.11)	(2.66)	(0.05)
FY	(19.95)	(7.68)	(4.39)

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	96	100	96	88	
Growth	22	8	100		
Momentum	1				
Quality	90				
Low Vol	100	100			

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

GLM-5.3 pushes Zhipu further toward the intelligence frontier; maintain OW

We maintain OW on Zhipu and raise our Dec-26 PT to HK\$1,800, which implies ~20x our US\$5bn 2027E ARR. GLM-5.3 strengthens our conviction because it improves the variable we currently value most, capability, while API economics remain broadly stable. According to the company, GLM-5.3 uses the same base model as GLM-5.2 and derives much of its coding and agentic improvement from heavier post-training. The magnitude of the reported improvement is encouraging, although we continue to look for broader independent validation.

The use of the same base model is also relevant for the competitive debate. It suggests meaningful capability gains can still come from post-training without another major pre-training cycle, putting greater weight on data quality, reinforcement learning, evaluation infrastructure and engineering execution as sources of differentiation. With existing subscribers' pricing broadly unchanged, stronger capability should support adoption and retention if real-world user feedback confirms the reported gains.

We prefer Zhipu because its latest competitive improvement is internally generated. Its position remains exposed to future releases from Kimi, DeepSeek and other frontier peers, so the thesis requires continued model iteration rather than relying on GLM-5.3 alone. Starting closer to the intelligence frontier also provides strategic flexibility: subsequent inference optimization can improve cost-performance while preserving capability. We raise our 2026-30 revenue forecasts by 6-10%, and therefore hike our price target to HK\$1,800 from HK\$1,600 (unchanged PT basis of 20x 2030E P/E discounted back at 15% WACC).

Price Performance



Company Data

Shares O/S (mn)	241
52-week range (HK\$)	2,980.00-116.10
Market cap (\$ mn)	39,020
Exchange rate	7.85
Free float (%)	52.1%
3M ADV (mn)	4.55
3M ADV (\$ mn)	798.7
Volatility (90 Day)	180
Index	MXCNX
BBG ANR (Buy Hold Sell)	23 4 2

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	724	5,360	14,992	41,221
Adj. EBIT	(7,015)	(8,547)	(7,170)	6,354
Adj. EBITDA	(3,517)	(4,531)	(4,301)	1,722
Adj. net income	(3,182)	(3,498)	(2,084)	5,586
Adj. EPS	(19.95)	(7.68)	(4.39)	11.76
BBG EPS	(8.58)	(11.19)	(11.00)	(4.59)
Cashflow from operations	(2,246)	(1,274)	3,494	14,586
FCFF	(2,195)	(1,735)	2,818	12,575
Margins and Growth				
Revenue Growth Y/Y (%)	131.9%	640.0%	179.7%	175.0%
EBIT margin	(968.5%)	(159.5%)	(47.8%)	15.4%
EBIT Growth Y/Y (%)	38.8%	21.8%	(16.1%)	(188.6%)
EBITDA margin	(485.5%)	(84.5%)	(28.7%)	4.2%
EBITDA Growth Y/Y (%)	55.0%	28.8%	(5.1%)	(140.0%)
Net margin	(439.3%)	(65.3%)	(13.9%)	13.6%
Adj. EPS growth	29.3%	(61.5%)	(42.8%)	(368.1%)
Ratios				
Adj. tax rate	0.0%	0.0%	0.0%	0.0%
Interest cover	NM	NM	NM	34.4
Net debt/Equity	0.1	NM	NM	NM
Net debt/EBITDA	0.2	6.7	11.2	NM
ROE	52.8%	(58.8%)	(7.9%)	16.7%
Valuation				
FCFF yield	(1.3%)	(0.3%)	0.5%	2.4%
Dividend yield	-	-	-	-
EV/Revenue	362.2	43.4	14.3	4.9
EV/EBITDA	NM	NM	NM	117.5
Adj. P/E	NM	NM	NM	92.8

Summary Investment Thesis and Valuation

We rate Z.AI (Zhipu AI) Overweight, as the company better fits our framework of repeated SOTA visibility, high-value workflow exposure and pricing power. Zhipu has delivered multiple domestic SOTA releases YTD across the GLM series. The release of GLM5.2/5.3 further enhances its leadership position, in our view. In a market where model cycles are compressing, we believe such a track record matters: Investors are likely to place more weight on repeated frontier delivery than on one-off usage spikes or single-model success, in our view.

Our Dec-26 PT of HK\$1,800 is based on a 20x 2030E P/E, when we expect Zhipu AI to generate normalized earnings, discounted back using a 15% WACC. The 20x multiple represents a valuation premium over tier-1 Chinese Internet players, mostly to reflect the company's 100%+ revenue CAGR in 2026-30E.

Performance Drivers

Market	12%
Region	3%
Macro	8%
Style	13%
Idiosyn.	63%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.41	0.35
Region: Hong Kong	-0.23	-0.20
Macro:		
JPM Global Equity Sentiment	-0.29	-0.26
JPM EM Currency(EMCI) Fixing	-0.19	-0.24
JP Morgan GBI-EM Global Div	-0.09	-0.17
Quant Styles:		
Momentum	0.43	0.33
Growth	0.42	0.30
Value	-0.39	-0.30

Investment Thesis, Valuation and Risks

Z AI Co Ltd - H (Overweight; Price Target: HK\$1,800.00)

Investment Thesis

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Valuation

Our Dec-26 PT of HK\$1,800 is based on a 20x 2030E P/E, when we expect Zhipu AI to generate normalized earnings, discounted back using a 15% WACC. The 20x multiple represents a valuation premium over tier-1 Chinese Internet players, mostly to reflect the company's 100%+ revenue CAGR in 2026-30E.

Price target calculation

2030E revenue (Rmb mn)	193,132
2030E adjusted net profit (Rmb mn)	56,673
2030E adjusted EPS (Rmb)	119
Target multiple	20
WACC	15%
Dec-26 PT (HK\$)	1,800

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks include export controls, geopolitical risk, and entity list designation; intensified competition; high and ongoing R&D investment, which creates execution risk and pressure on profitability; commercialization and customer adoption, which remain subject to uncertainty; and dependence on computing infrastructure and external suppliers, which exposes Zhipu to cost and availability risks.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Neutral

0100.HK, 100 HK

Price (14 Aug 26): HK\$329.00

▲ **Price Target (Dec-26): HK\$260.00**
Prior (Dec-26): HK\$160.00

**Hong Kong
Internet**

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J.P. Morgan Securities (China) Company Limited

Half Yearly Forecasts (FYE Dec)

Adj. EPS (\$)

	2025A	2026E	2027E
H1	(1.75)	(0.99)	(1.51)
H2	(0.22)	(0.34)	(0.86)
FY	(0.80)	(1.30)	(2.30)

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	99	92	90	87	
Growth	17	99	99		
Momentum	85				
Quality	85				
Low Vol	98	99			

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

MiniMax Group Inc - H

DeepSeek repricing provides breathing room; M3.1 and Hailuo H3 need to prove stronger LLM positioning and multimodal value capture

DeepSeek repricing provides breathing room; M3.1 is the key LLM test

We maintain Neutral on MiniMax and raise our Dec-26 PT to HK\$260, which implies ~12x our US\$1bn end-2026E ARR (unchanged PT basis of 20x 2030E P/E discounted back at 15% WACC). The current M3 has yet to establish a clear advantage on either capability or cost-performance, leaving MiniMax vulnerable to stronger models at one end and DeepSeek's historically aggressive economics at the other. DeepSeek's repricing narrows this cost disadvantage across substitutable workloads and supports higher retention, workload-share and pricing assumptions, but the improvement comes from a competitor's decision and we believe can reverse as prices and models change.

M3.1 is therefore the more important company-specific catalyst. We want to see whether MiniMax can establish a more competitive position through its own model iteration, either by materially improving capability or offering compelling cost-performance. DeepSeek's higher pricing lowers the hurdle somewhat, but a modest M3.1 improvement that leaves the model inside the Pareto frontier would have limited impact on our longer-term view.

Hailuo H3 adds optionality, while value capture remains the key question

Hailuo H3 strengthens MiniMax's multimodal portfolio and adds a second potential growth engine. We see substantial demand growth ahead as AI-generated video and images penetrate advertising, short-form video, gaming and e-commerce, although the equity question extends beyond industry TAM to **how much revenue and profit an independent provider can ultimately capture**. General-purpose LLM intelligence can address a broader range of knowledge work, while multimodal generation today is more concentrated around content creation and production budgets.

Competitive structure further raises the hurdle for MiniMax. It faces **integrated platforms including ByteDance and Kuaishou that can capture value across model/API revenue, content creation, distribution, advertising and user engagement**. A better video model can generate direct API revenue while increasing content supply, improving advertising tools and supporting engagement on their own platforms; existing creator and advertiser ecosystems also provide distribution and data advantages. By comparison, MiniMax needs to capture more investment return directly through its own products and model services, rather than across an entire ecosystem.

We view H3 as meaningful optionality, with stronger model performance alone for us to turn more positive on the stock. We would assign more value if MiniMax demonstrates sustained frontier multimodal performance together with paid usage, durable pricing and attractive economics against integrated competitors. Combined with M3.1, this leaves two routes for upside to our Neutral view: a stronger position on the LLM Pareto frontier, or evidence that multimodal competitiveness can translate into a sufficiently large and profitable standalone business.

Price Performance



— 0100.HK Price (HK\$)- MSCI-Cnx (rebased)

	YTD	1m	3m	12m
Abs	-	43.0%	-61.3%	-
Rel	-	41.2%	-54.1%	-

Company Data

Shares O/S (mn)	228
52-week range (HK\$)	1,330.00-186.20
Market cap (\$ mn)	9,566
Exchange rate	7.85
Free float (%)	24.1%
3M ADV (mn)	5.94
3M ADV (\$ mn)	269.9
Volatility (90 Day)	146
Index	MXCNX
BBG ANR (Buy Hold Sell)	26 4 1

Key Metrics (FYE Dec)

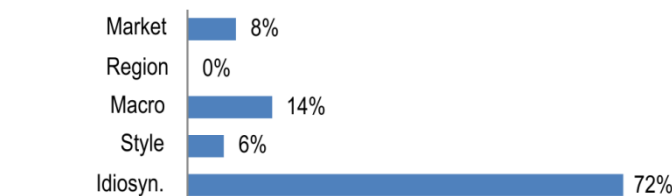
\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	79	383	922	1,998
Adj. EBIT	(257)	(431)	(931)	(917)
Adj. EBITDA	(280)	(926)	(1,187)	(1,239)
Adj. net income	(251)	(432)	(931)	(918)
Adj. EPS	(0.80)	(1.30)	(2.30)	(2.26)
BBG EPS	(1.12)	(1.74)	(1.78)	(1.35)
Cashflow from operations	(280)	(302)	(777)	(489)
FCFF	(280)	(321)	(823)	(588)
Margins and Growth				
Revenue Growth Y/Y (%)	158.9%	384.9%	140.5%	116.8%
EBIT margin	(325.2%)	(112.4%)	(101.0%)	(45.9%)
EBIT Growth Y/Y (%)	5.5%	67.7%	116.0%	(1.4%)
EBITDA margin	(354.6%)	(241.6%)	(128.8%)	(62.0%)
EBITDA Growth Y/Y (%)	12.1%	230.4%	28.2%	4.4%
Net margin	(317.4%)	(112.6%)	(101.1%)	(45.9%)
Adj. EPS growth	(64.4%)	62.8%	76.5%	(1.4%)
Ratios				
Adj. tax rate	0.0%	0.0%	0.0%	0.0%
Interest cover	NM	NM	NM	NM
Net debt/Equity	0.2	2.1	2.1	0.8
Net debt/EBITDA	1.7	2.4	1.9	1.4
ROE	14.6%	23.4%	87.6%	59.3%
Valuation				
FCFF yield	(2.1%)	(2.3%)	(4.8%)	(3.5%)
Dividend yield	-	-	-	-
EV/Revenue	115.0	19.2	7.9	3.9
EV/EBITDA	NM	NM	NM	NM
Adj. P/E	NM	NM	NM	NM

Summary Investment Thesis and Valuation

We are Neutral on MiniMax. MiniMax remains strategically well positioned, in our view, with a differentiated multimodal + LLM portfolio, 2C + 2B product coverage, international expansion and strong cost-performance traction. The company has built a credible model platform across text, audio, image, video and productivity use cases, and its OpenRouter usage shows meaningful developer adoption. This combination gives MiniMax long-term option value, especially if AI demand expands from text-heavy workflows into multimodal content, interactive agents and embodied AI. Our Neutral rating is driven by model leadership, rather than strategic positioning: From a pure model capability perspective, MiniMax remains in catch-up mode.

Our Dec-26 PT of HK\$260 is derived from a 20x 2030E P/E, when we expect MiniMax to generate normalized earnings, discounted back using a 15% WACC. The 20x multiple represents a valuation premium over tier-1 Chinese Internet players, mostly to reflect the company's 100%+ revenue CAGR in 2026-30E.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.31	0.28
Region: Hong Kong	-0.06	-0.05
Macro:		
JPM Global Equity Sentiment	-0.34	-0.29
JP Morgan GBI-EM Global Div	-0.16	-0.20
JPM China A-shares Sentiment	-0.21	-0.18
Quant Styles:		
Value	-0.13	-0.11
LowVol	-0.12	-0.10
Growth	0.11	0.08

Investment Thesis, Valuation and Risks

MiniMax Group Inc - H (*Neutral; Price Target: HK\$260.00*)

Investment Thesis

We are Neutral on MiniMax. MiniMax remains strategically well positioned with a differentiated multimodal + LLM portfolio, 2C + 2B product coverage, international expansion and strong cost-performance traction. The company has built a credible model platform across text, audio, image, video and productivity use cases, and its OpenRouter usage shows meaningful developer adoption. This combination gives MiniMax long-term option value, especially if AI demand expands from text-heavy workflows into multimodal content, interactive agents and embodied AI. Our Neutral rating is driven by model leadership, rather than strategic positioning: From a pure model capability perspective, MiniMax remains in catch-up mode.

Valuation

Our Dec-26 PT of HK\$260 is derived from a 20x 2030E P/E, when we expect MiniMax to generate normalized earnings, discounted back using a 15% WACC. The 20x multiple represents a valuation premium over tier-1 Chinese Internet players, mostly to reflect the company's 100%+ revenue CAGR in 2026-30E.

Price target calculation

2030E revenue (US\$mn)	7,910
2030E adjusted net profit (US\$mn)	1,027
2030E adjusted EPS (\$/share)	2.5
Target multiple	20
WACC	15%
Dec-26 PT (HK\$)	260

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Upside risks include better-than-expected new model iteration, clearer monetization from MiniMax's multimodal portfolio, and more durable API economics.

Downside risks include MiniMax's litigation proceedings with US studios; intensified competition; high and ongoing R&D investment, which creates execution risk and pressure on profitability; commercialization and customer adoption, which remain subject to uncertainty; and dependence on computing infrastructure and external suppliers, which exposes MiniMax to cost and availability risks.

MiniMax Group Inc - H: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	31	79	383	922	1,998	Cash flow from operating activities	(258)	(280)	(302)	(777)	(489)
COGS	(27)	(59)	(307)	(688)	(1,410)	o/w Depreciation & amortization	0	1	6	14	30
Gross profit	4	20	76	233	588	o/w Changes in working capital	20	6	121	122	349
SG&A	(101)	(89)	(199)	(262)	(333)	Cash flow from investing activities	(431)	72	(19)	(46)	(100)
Adj. EBITDA	(250)	(280)	(926)	(1,187)	(1,239)	o/w Capital expenditure	(1)	(1)	(19)	(46)	(100)
D&A	(0)	(1)	(6)	(14)	(30)	as % of sales	2.5%	1.2%	5.0%	5.0%	5.0%
Adj. EBIT	(244)	(257)	(431)	(931)	(917)	Cash flow from financing activities	771	423	2,046	900	0
Net Interest	(1)	(1)	(1)	(1)	(1)	o/w Dividends paid	-	-	-	-	-
Adj. PBT	(465)	(1,872)	(932)	(1,201)	(1,269)	o/w Shares issued/(repurchased)	-	-	-	-	-
Tax	0	0	0	0	0	o/w Net debt issued/(repaid)	33	1	2,046	900	0
Minority Interest	0	0	0	0	0	Net change in cash	83	219	1,724	77	(589)
Adj. Net Income	(244)	(251)	(432)	(931)	(918)	Adj. Free cash flow to firm	(259)	(280)	(321)	(823)	(588)
Reported EPS	(4.28)	(5.97)	(2.81)	(2.96)	(3.13)	y/y Growth	297.5%	8.2%	14.6%	156.5%	(28.5%)
Adj. EPS	(2.25)	(0.80)	(1.30)	(2.30)	(2.26)						
DPS	-	-	-	-	-						
Payout ratio	-	-	-	-	-						
Shares outstanding	109	314	331	405	405						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	289	508	2,232	2,309	1,720	Gross margin	12.2%	25.4%	19.9%	25.3%	29.4%
Accounts receivable	7	11	72	178	398	EBITDA margin	(819.1%)	(354.6%)	(241.6%)	(128.8%)	(62.0%)
Inventories	-	-	-	-	-	EBIT margin	(798.2%)	(325.2%)	(112.4%)	(101.0%)	(45.9%)
Other current assets	517	500	664	919	1,420	Net profit margin	(800.2%)	(317.4%)	(112.6%)	(101.1%)	(45.9%)
Current assets	806	1,007	2,896	3,228	3,140	ROE	42.8%	14.6%	23.4%	87.6%	59.3%
PP&E	1	2	4	8	19	ROA	(39.6%)	(25.1%)	(21.2%)	(29.6%)	(28.0%)
LT investments	95	70	70	70	70	ROCE	43.7%	15.2%	23.8%	90.7%	60.8%
Other non current assets	104	79	79	79	79	SG&A/Sales	332.1%	112.2%	51.9%	28.5%	16.7%
Total assets	911	1,088	2,979	3,316	3,238	Net debt/Equity	0.3	0.2	2.1	2.1	0.8
Short term borrowings	19	35	35	35	35	Net debt/EBITDA	1.1	1.7	2.4	1.9	1.4
Payables	51	58	323	660	1,431	Sales/Assets (x)	0.0	0.1	0.2	0.3	0.6
Other short term liabilities	1,637	3,640	3,661	3,700	3,779	Assets/Equity (x)	NM	NM	NM	NM	NM
Current liabilities	1,708	3,734	4,019	4,396	5,245	Interest cover (x)	NM	NM	NM	NM	NM
Long-term debt	-	-	-	-	-	Operating leverage	22.2%	3.4%	17.6%	82.6%	(1.2%)
Other long term liabilities	2	3	3	3	3	Tax rate	0.0%	0.0%	0.0%	0.0%	0.0%
Total liabilities	1,710	3,737	4,022	4,399	5,248	Revenue y/y Growth	782.2%	158.9%	384.9%	140.5%	116.8%
Shareholders' equity	(799)	(2,648)	(1,043)	(1,083)	(2,010)	EBITDA y/y Growth	171.2%	12.1%	230.4%	28.2%	4.4%
Minority interests	0	0	0	0	0	EPS y/y Growth	165.8%	(64.4%)	62.8%	76.5%	(1.4%)
Total liabilities & equity	911	1,088	2,979	3,316	3,238						
BVPS	(7.36)	(8.44)	(3.15)	(2.67)	(4.96)						
y/y Growth	126.6%	14.8%	(62.7%)	(15.1%)	85.6%						
Net debt/(cash)	(266)	(470)	(2,195)	(2,271)	(1,682)						
						Valuation					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	NM	NM	NM	NM	NM						
P/BV (x)	NM	NM	NM	NM	NM						
EV/EBITDA (x)	NM	NM	NM	NM	NM						
Dividend Yield	-	-	-	-	-						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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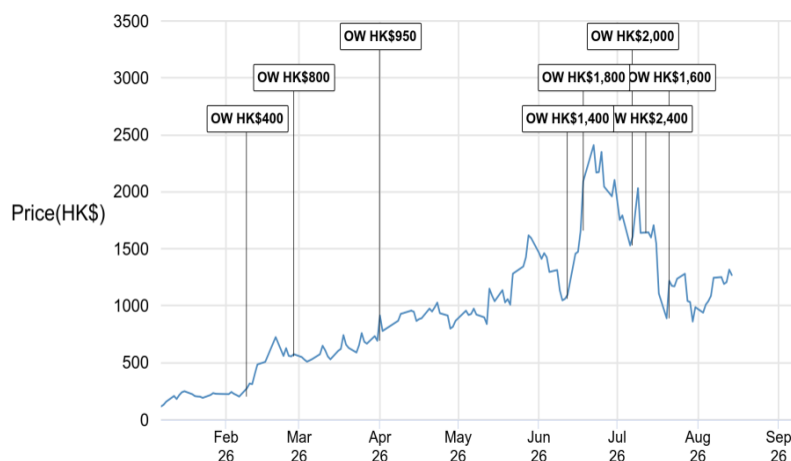
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Z AI Co Ltd - H (2513.HK, 2513 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
09-Feb-26	OW	203.20	400
27-Feb-26	OW	556.50	800
01-Apr-26	OW	693.50	950
12-Jun-26	OW	1061.00	1,400
18-Jun-26	OW	1660.00	1,800
07-Jul-26	OW	1530.00	2,000
12-Jul-26	OW	1640.00	2,400
21-Jul-26	OW	890.50	1,600

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 09, 2026. All share prices are as of market close on the previous business day.

MiniMax Group Inc - H (0100.HK, 100 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
09-Feb-26	OW	461.00	700
27-Feb-26	OW	788.50	1,000
03-Mar-26	OW	752.50	1,100
12-Jun-26	N	435.00	400
07-Jul-26	N	335.00	300
12-Jul-26	N	268.60	240
21-Jul-26	N	193.10	160

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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Coverage Universe: Xu, Olivia : MiniMax Group Inc - H (0100.HK), Z AI Co Ltd - H (2513.HK)

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IB clients**	95%	92%	87%

*Please note that the percentages may not add to 100% because of rounding.

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